

PRODUCT LIABILITY:

CONSUMER PROTECTION ACT 1987 (CPA 87)

TORT LAW

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LECTURE OVERVIEW

- ❑ **Claims for defective products... 2 or 3 regimes?**

- **Product liability and negligence... contracts.**

- ❑ **The Consumer Protection Act 1987...**

- **CPA 1987 is available on Moodle (but can be located on legislation.gov.uk).**

PRODUCT LIABILITY & NEGLIGENCE - BACKGROUND...

Pre-1932

Manufacturer only liable if the product was classified as “dangerous”, or known to the manufacturer to be dangerous – manufacturer obliged to warn the recipient of the danger...

Privity of contract fallacy...

***Donoghue v Stevenson* [1932] AC 562...** per Lord Atkin...

“a manufacturer of products, which he sells in such a form as to show that he intends them to reach the ultimate consumer in the form in which they left him with no reasonable possibility of intermediate examination, and with the knowledge that the absence of reasonable care in the preparation or putting up of the products will result in an injury to the consumer's life or property, owes a duty to the consumer to take that reasonable care...”

- ❑ “Manufacturer” – fitters, repairers etc...
- ❑ “Intermediate examination” – case law...
- ❑ “Ultimate consumer” – what about bystanders? (*Stennett v Hancock*)
 - ❑ Harm suffered: foreseeable personal injury / property damage...
 - ❑ What about design defects?

CLAIMS FOR DEFECTIVE PRODUCTS – 3 REGIMES?

Contract

CPA 1987

Tort
(Negligence)

- ❑ CPA 1987 = strict liability regime in tort... draws on both contract law and negligence...
- ▮ NB- Strict liability ≠ absolute...

- ❑ Part 1 CPA 1987 = transposed Council Directive 85/374/EEC into domestic law...
- ▮ NB: the CPA has been amended post-Brexit in a multitude of ways to focus on the UK, rather than EU jurisdictionally but largely retains its substance.

CONSUMER PROTECTION ACT 1987 PART I

– PRODUCT LIABILITY

1. Purpose and construction of Part I.
2. Liability for defective products.
3. Meaning of “defect”.
4. Defences.
5. Damage giving rise to liability.
6. Application of certain enactments etc.
7. Prohibition on exclusions from liability.
8. Power to modify Part I.
9. Application of Part I to Crown.

CPA 1987:

CLAIMS COVERED...

- ❑ Who can bring a claim under the CPA87?
- ❑ **S.2(1)**: liability is imposed in respect only of damage caused by a defect in a product...
- ▮ *NB: “defect” is defined by reference to s.3...*

S.5 – Damage giving rise to liability

- ❑ Death or personal injury - **s.5(1)**...
- ❑ Damage to private property which *exceeds* £275 – **s.5(4)** ...
- ❑ Property... “loss of or damage to any property (including land)” – **s.5(1)**...
- ▮ But not the damaged product itself (or components which are already incorporated?) - **s.5(2)**... (*Murphy*-type economic loss / “complex structure” type economic loss)
- ▮ Property which is ordinarily intended, and intended by the person suffering the loss or damage mainly for his own private use, occupation or consumption – **s.5(3)(a) and (b)**...

CPA 1987 REQUIREMENTS

“PRODUCT”

- ❑ **“...any goods or electricity” – s.1(2)(c)...**
- ▢ ... “goods” include “substances, growing crops and things comprised in land by virtue of being attached to it and any ship, aircraft or vehicle” ... **(s.45(1) CPA 1987)**
- ▢ *A v National Blood Authority [2001] 3 All ER 289...*
- ❑ **“...includes a product which is comprised in another product, whether by virtue of being a component part or raw material or otherwise... (s.1(2)(c)) subject to s.1(3))...**

CPA 1987: REQUIREMENTS

DEFECTS GIVING RISE TO CLAIMS...

- ❑ **NB: only damage caused by defects is actionable...**
- ❑ “defect” is defined in terms of the safety of the product being below the standard of safety which one is generally entitled to expect – **s.3(1)**...
- ▢ Expectations of consumers? The manufacturing community?
 - (Tobacco? Alcohol?)
- ▢ Definitive statement?
- ❑ The safety that one can expect will vary from product to product and must be judged on a case-by-case basis...
- ❑ **s.3(2)** – the court must pay particular (not exclusive) regard to:
 - (a) The manner, and purpose for which, the product was marketed;
 - (b) The uses to which the product might be put, and
 - (c) The time of supply.

STANDARD V NON-STANDARD PRODUCTS

Standard:

- One which performs as the producer intends
- It is unsafe because of an error in design or a flawed system

NB: PRE *Wilkes*: too 'rigid' - in favour of 'holistic' approach.

Non-Standard

- One which is **deficient or inferior in terms of safety** relative to the standard product
- The harmful characteristic or characteristics that caused the injury are present in the non-standard product, but not in the standard product

CPA 1987 REQUIREMENTS...

“DEFECT” DEFINED IN CASE LAW...

Manufacturing defect...

- *A v National Blood Authority (2001)*
- *Tesco Stores v Pollard (2006)*
- *Richardson v LRC Products (2000)*

Design and marketing defects...

- “standard products” (suffer from design/marketing defects) *A v National Blood Authority (2001)*
- Cost/benefit approaches... *B (a child) v McDonald’s Restaurants Ltd (2002)*; *Worsley v Tambrands (2000)*
 - But see: *Liebeck v McDonald’s Restaurants [1994]*
- “standard products” in negligence and under the CPA 1987: *Abouzaid v Mothercare (UK) Ltd (2001)*

Wilkes v Depuy International Ltd [2016] EWHC 3096
Hastings v Finsbury Orth. [2022] UKSC 19

LIEBECK V MCDONALD'S RESTAURANTS

[1994]

Q: [Y]ou know, as a matter of fact, that coffee is a hazard, selling it at 180 to 190 degrees, don't you?

A: I have testified before, the fact that this coffee can cause burns.

Q: It is hazardous at this temperature?

A: At that high temperature the coffee is a hazard. . . .

Q: If customers attempt to swallow that coffee, isn't it a fact that it will scald their throat or esophagus?

A: Yes, under those conditions, if they could get the coffee in their throat, that could happen, yes. . . .

Q: So. . . when somebody buys a cup of coffee and it's sold to them at McDonald's and they go to sit down and drink it in less than five minutes, it's not fit for consumption to drink, if consumption means to drink? . . .

A: It's perfectly fit to open the top and add cream and sugar and really dilute the product as far as temperature goes and it probably would be very fit for consumption

Q: If you don't mind getting burned it's fit for consumption. My question is, is it fit to be drunk, actually fluid going down your esophagus?

A: I think I already answered that.

Q: And the answer is no, it's not, isn't it?

A: Yes, we answered that.

CURRENT APPROACH

- ‘1) what was the harmful characteristic that caused injury?**
- 2) Was the product ‘standard’ or ‘non-standard’? [But see *Wilkes*]**
- 3) What are the consumer’s legitimate expectations as to the product?’**
- + Causation (*A*[2001]) – note claimant friendliness**

‘...no entitlement to absolute level of safety...[based on nature of product]’

Entitled expectation: level of safety would not be worse if another product, manufactured by another, would be used.

***Hastings* [2022]**

CPA 1987: POTENTIAL DEFENDANTS (1/4)...

PRODUCERS (S.1(2))

Manufacturers - s.1(2)(a)...

- Manufacturers of final products;
- Manufacturers of component parts in “complex structures”...joint and several liability...
- Distributors which are subsidiaries of the manufacturer if the latter exercises some control... *O’Byrne v Aventis Pasteur S A [2010] UKSC 23...*

Abstractors - s.1(2)(b)...

- Coal / tin mining...

Persons who carry out an industrial or other process to which the essential characteristics of the product are attributable - s.1(2)(c)...

- Canned peas / frozen fish...
- But not persons involved in packaging?

CPA 1987: POTENTIAL DEFENDANTS (2/4)...

BRAND-NAMERS WHO HOLD THEMSELVES OUT AS THE PRODUCER (S.2(2)(B))

❑ D must both

(a) Add a brand name (e.g. St. Michael), AND

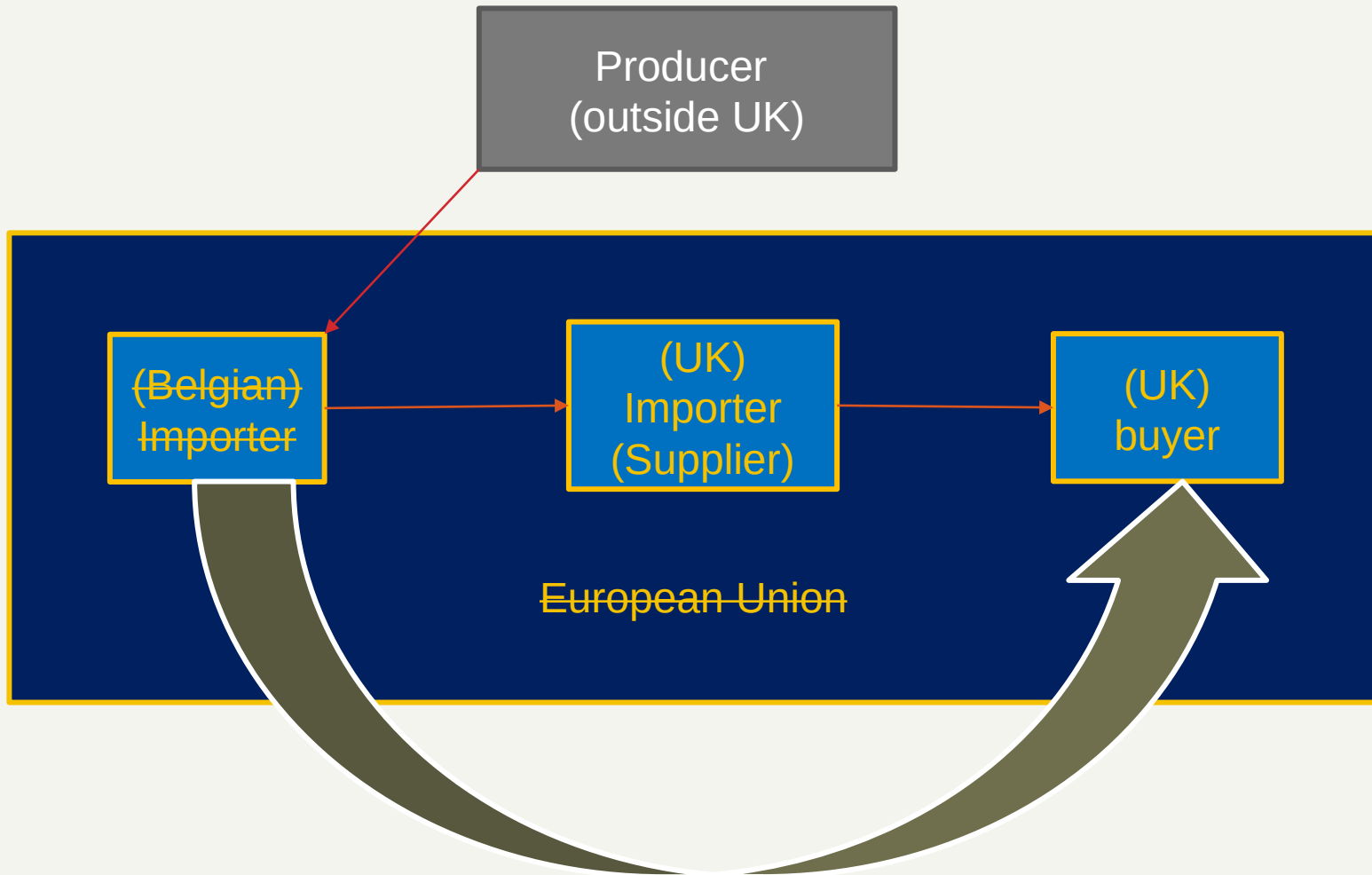
(b) Thereby *hold himself out* as the producer...

Consumer buys a food processor at Marks & Spencer which bears the brand name "St. Michael"...

Food processor explodes, injuring the consumer...

Can the consumer sue M&S?

CPA 1987: POTENTIAL DEFENDANTS (3/4)...
IMPORTERS INTO THE ~~EU~~ UK (S.2(2)(C))



BREXIT

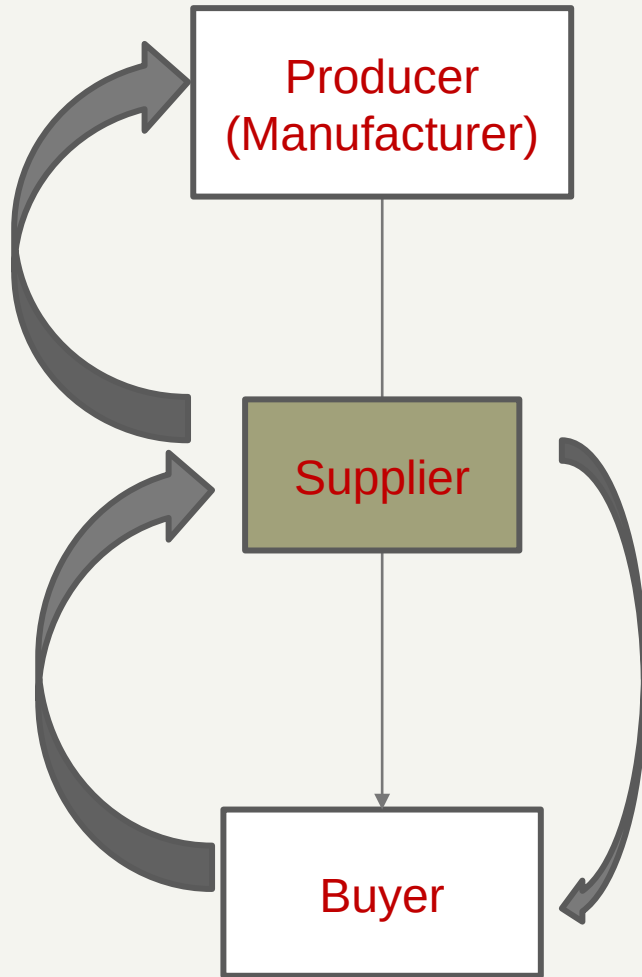
(SORRY, LAW STUDENTS)

- Existing UK law driven largely through EU Directives (note: precedent reliance);
- 'Retained EU law' for UK to UK transactions;
- More challenging to enforce with EU traders;
- Redress may need to be sought in the trader's state of origin;
- Lost rights to EU enforcement mechanisms (ADR and Online Dispute Resolution Platform);
- Need more awareness of law in EU countries;
- UK does not have input into future consumer laws for EU.

May 2021 House of Commons Briefing Paper on Brexit and UK Consumer Protection Law:

<https://researchbriefings.files.parliament.uk/documents/CBP-9126/CBP-9126.pdf>

CPA 1987: POTENTIAL DEFENDANTS (4/4)... DISTRIBUTORS / (“SILENT”) SUPPLIERS (S.2(3))



Buyer asks supplier within a reasonable period (etc.) after damage occurs to identify the producer, brand-namer or EU importer...

Supplier liable if, within a reasonable period of time, s/he fails to comply with the request or identify the person who supplied the product...

NB – if supplier merely confirms that it is not the manufacturer, but does not name the manufacturer, it has not complied...
(*O'Byrne v Aventis Pasteur SA*)

CPA 1987:

DEFENCES (1/2)

Defences under s.4(1) CPA 1987...

- ❑ **Compliance with the rule of law – s.4(1)(a)...**

- ❑ **Product never supplied to Another – s.4(1)(b)...**
 - “supply” interpreted widely - s.46...

- ❑ **Supply was not in the course of D’s business – s.4(1)(c)...**
 - ▮ Depends whether D falls within s.2(2) CPA 1987 or not...
 - ▮ Contrast selling a cake at a craft fair with selling a car to a neighbour...

- ❑ **Defect occurring after the time of Supply – s.4(1)(d)...**
 - D bears the burden...

CPA 1987:

DEFENCES (2/2)

❑ Development risks – s.4(1)(e)...

- ▮ Controversy in transposing Art.7(e) of the Directive...*European Commission v United Kingdom* [1997] All ER (EC) 481...
- ▮ *Abouzaid v Mothercare (UK) Ltd* [2000] All ER (D) 2436...
- ▮ *A v National Blood Authority* [2001] 3 All ER 289...

❑ The defect was a defect in a finished product (X) in which the product in question had been comprised AND was wholly attributable to the design of X or to compliance with the producer of X's instructions– s.4(1)(f)...

- ▮ Protects D who has supplied a component part and risks being found jointly and severally liable under s.2(5) when a defect is found in the finished product.

❑ Contributory negligence – s.6(4)...

RECAP / WHAT DO I NEED TO KNOW?...

Type of
claim?

Personal Injury /
Death
(s.5(1))

Property damage
>£275
(s.5(4))

Property damage
not excluded by
s.5(2)

Damage caused by a
defect in a product
(s.2(1))

“product”
(s.1(2) and (3))

“defect”
(s.3)

Who might be liable?

“Producers”
(s.1(2))

Brand-namers;
(s.2(2))

Distributors
(s.2(3))

Are any defences
available to D?

s.4(1)(a)-(f)

Contributory negligence
(s.6(4))

TABLE 12.1 SUMMARY OF THE CONSUMER PROTECTION ACT 1987, PART 1

H&R (2023) P. 400

***BE SURE TO REVIEW THE ANNOTATED STATUTE, PP. 396-99**

Issue	Relevant sections	Explanation
Who can sue?	Sections 2(1) and 5(1)	A person who 'suffers damage as a result of a defective product' (see definitions of 'damage' and 'defect')
Who can be sued?	Sections 1(2) and 5(2)	Manufacturers, producers, 'own-branders' and importers into the EU. ⁵⁴ Some suppliers can also be sued
What damage can be claimed for?	Section 5(1) See also ss 5(2) and 5(4)	Death, personal injury and property damage Pure economic loss excluded and property damage must exceed £275
What is a 'product'?	Section 1(2) See also s 45	Goods and electricity, component parts and raw materials 'Goods' includes substances, growing crops, things on land and any ship, aircraft or vehicle
What is a 'defect'?	Section 3(1) See also s 3(2)(a)–(c)	A defect exists when 'the safety of a product is not such that persons generally are entitled to expect'—this is the most analysed aspect of the legislation in case law Packaging, normal use, instructions and warnings may be taken into account
Are any defences appropriate?	Section 4(1)(a)–(f)	There are six defences available under the Act Contributory negligence is also applicable

OVERALL IMPACT?

- Few cases on the CPA
- However, does that mean ineffectiveness?
 - sophisticated defendants
 - high incentives for compliance
 - alternative resolutions?

SCENARIO... CPA 1987 ANALYSIS...

ConnectedUK manufactures and assembles mobile phones, sold as YPhones. YPhones have a reputation for their style, functionality and long-lasting batteries. They cost £300 a piece. The phones are sold by Electronic UK. ConnectedUK is aware of a potential battery fault but does not pass on the information to ElectronicUK.

Bob has bought YPhones for his two sons, James and Oliver. There are cheaper smartphones in the market, but Bob chose the YPhones because they are described as being reliable.

A couple of months after the purchases, the battery in James' phone discharges within minutes. James attempts repeatedly to charge his phone and due to the fault the battery malfunctions. James' YPhone catches fire, but he extinguishes the flames before they do any more damage.

Oliver was visiting his friend Tom. Oliver leaves his phone charging on top of his new jacket, an expensive brand model costing £500 and goes out with Tom. The battery in the YPhone fails, resulting in a fire that destroys his rucksack, his jacket and causes significant damage to Tom's room and house. Upon their return, Tom suffers some injuries while trying to rescue his personal belongings from the flames.

Advise James, Oliver and Tom of any claims they may have.